

# EGYPTIAN CHEMICAL INDUSTRIES (KIMA) — EGX: EGCH — VALUATION

## WHAT THIS FILE IS

A live formula model of a single-site Egyptian nitrogen-fertilizer producer. Revenue is built product by product, consumption times a unit price; the cost of capital, the discount-rate glide, the free-cash-flow waterfall, the EV/EBITDA ratio are calculated in the sheet. Change a blue cell on Assumptions and the valuation recomputes.

**BLUE IS AN INPUT. BLACK IS A FORMULA. GREEN IS A LINK TO ANOTHER SHEET.**

## THE THREE CLASSES OF PASTED CELL, AND THERE ARE NO OTHERS

1. AUDITED AND DISCLOSED HISTORY. The Income Statement, Balance Sheet and Cash Flow sheets carry the audited statements for the years ended 30 June 2023, 2024 and 2025 and its reviewed nine-month accounts. If not derivable, the DISCLOSED figure is carried and the derivation sits beside it as a check.

2. THE UNIT BUILD'S OUTPUT. Production tonnages, the split of those tonnes between the subsidised, local and export price in each channel are the output of a reconciliation against the audited revenue note that would be underpinning the Assumptions; everything downstream is a formula.

3. WHOLE-MODEL RE-RUNS AND SIMULATION OUTPUT. Every cell of the Sensitivity grid is a complete re-run. The Carlo sheet reports statistics of a fifty-thousand-path simulation. NEITHER REDRAWS WHEN A DRIVER CHANGES.

## THE CONTESTED JUDGEMENT IS CARRIED BOTH WAYS, NEVER AVERAGED

This company is building a nitric-acid and ammonium-nitrate complex whose bank-approved cost is about £1.50 a share. Whether that programme is carried through or stopped is worth more than three pounds a share — more than twice the current price. We report a number that is true in neither world, so both are computed and both are published: on Summary, on the Sensitivity columns, and in the expert panel.

*This is a valuation study. It is not a rating and not a price target: it reports a range of fair values and the distribution of outcomes.*

## SUMMARY — EVERY READ AT A GLANCE

*Every figure here is a formula reading the valuation sheets. The contested judgement appears as two columns and is never*

| Lens                              | Programme carried through (EGP/share) | Programme stopped (EGP/share) |
|-----------------------------------|---------------------------------------|-------------------------------|
| Cash flow — the primary lens      | 2.31                                  | 6.26                          |
| Book value and sustainable return | 0.00                                  | 0.00                          |
| Relative multiples                | 15.99                                 | 15.99                         |
| Normalised earnings power         | 4.29                                  | 4.29                          |

### THE FIELD — the range of the published reads, never an average of them

|                                   |               |
|-----------------------------------|---------------|
| Low                               | 2.31          |
| High                              | 15.99         |
| Spread across the published reads | 13.68         |
| Spot price, 3 September 2026      | 14.41         |
| Shares outstanding                | 1,986,578,999 |
| Market capitalisation (EGP m)     | 28,627        |

### THE CONTESTED JUDGEMENT — BOTH WAYS, NEVER AVERAGED

Is the ANNA capital programme carried through, or stopped?

|                             |       |
|-----------------------------|-------|
| Carried through (EGP/share) | 2.31  |
| Stopped (EGP/share)         | 6.26  |
| The gap (EGP/share)         | 3.95  |
| The gap (EGP m of equity)   | 7,843 |

|                                         |        |
|-----------------------------------------|--------|
| Discount rate implied by the traded p   | 11.5%  |
| Sovereign ten-year yield the same day   | 23.0%  |
| Cost of capital built in this model, ye | 25.76% |
| Cost of capital on the RATING premi     | 26.88% |

*Both premium bases are published and neither is mixed with the other's risk-free rate.*

Terminal value as a share of enterprise value is reported beside the cash-flow lens on the

### THE ANSWER — TWO BRANCHES, PUBLISHED SIDE BY SIDE AND NEVER

|                                    |                                           |
|------------------------------------|-------------------------------------------|
| Cash-flow lens — ANNA programme    | 2.31                                      |
| Against spot                       | -84.0%                                    |
| Cash-flow lens — ANNA programme    | 6.26                                      |
| Against spot                       | -56.6%                                    |
| RETIRED — the 45/20/20/15 weighted | 5.10                                      |
| Why it is retired                  | the weights were typed and had never clea |

*The judgement is BINARY and its two answers straddle the interesting range, so an average wou*

| Against spot | What it measures                                                            |
|--------------|-----------------------------------------------------------------------------|
| -84.0%       | Free cash flow to the firm, discounted on a glided cost of capital          |
| -100.0%      | Book equity at the justified multiple implied by its own sustainable return |
| 10.9%        | Forward EBITDA at the mid-point of the Egyptian industrial range            |
| -70.2%       | Mid-cycle operating profit after tax at a justified multiple                |

n

TER AVERAGED

ared an out-of-sample test

*'d describe a half-built plant — a world nobody is proposing and the company is not in. Both branches*

*s are published; neither is weighted into the other. Bear and full are the field's floor and ceiling.*

## FUNDAMENTAL VALUATION — THE FOUR LENSES

*The cash-flow lens is primary; the other three test it from directions it cannot test itself.*

| Lens 2 — book value and sustainable return | Value  |
|--------------------------------------------|--------|
| Book equity, 31 March 2026 (EGP m)         | 16,206 |
| Book value per share (EGP)                 | 8.16   |
| Underlying profit FY2023/24 (EGP m)        | 503    |
| Underlying profit FY2024/25 (EGP m)        | 987    |
| Opening equity FY2023/24 (EGP m)           | 7,250  |
| Opening equity FY2024/25 (EGP m)           | 14,560 |
| Return on equity FY2023/24                 | 6.9%   |
| Return on equity FY2024/25                 | 6.8%   |
| Sustainable return on equity               | 6.9%   |
| Cost of equity                             | 29.28% |
| Terminal growth                            | 7.0%   |
| Justified price-to-book, before flooring   | -0.006 |
| Justified price-to-book                    | 0.00   |
| Value per share on this lens (EGP)         | 0.00   |
| Price-to-book the market pays              | 1.77   |

### WHAT THE FOUR LENSES SAY TOGETHER

| Lens                                            | EGP per share |
|-------------------------------------------------|---------------|
| Cash flow — programme carried through           | 2.31          |
| Cash flow — programme stopped                   | 6.26          |
| Book value, disclosed (a floor, never weighted) | 8.16          |
| Relative multiples                              | 15.99         |
| Normalised earnings power                       | 4.29          |
| The field, low to high                          | 2.31          |

The two cash-flow readings are the contested judgement. They are the two sides of one question and are never averaged; the other three lenses are read against both. Note that the lens giving the highest number — relative multiples — is also the one that never asks what the capital programme does to cash, which is exactly

5, ONE FIELD

Derivation

Paid-in capital plus reserves, as reported

Reported profit less the one-off investment-property revaluation gain  
As reported  
Prior-year closing equity  
Prior-year closing equity

The two-year average on underlying profit  
Built on the Assumptions sheet

The sustainable return does not cover even nominal maintenance growth, so this is NEGATIVE. That is the finding, not a rounding artefact.  
Floored at zero

For comparison

Note



## ASSUMPTIONS — THE LIVE DRIVERS

*Blue cells are inputs. Change one and the model reprices. Each carries its source. Every value on this sheet comes from the study's input register.*

| Driver                                | Unit        |
|---------------------------------------|-------------|
| <b>THE CAPITALISATION</b>             |             |
| Shares outstanding                    | shares      |
| Anchor price                          | EGP         |
| Exchange rate, FY2024/25 average      | EGP/US\$    |
| Normalised-earnings multiple, low     | x           |
| Normalised-earnings multiple, central | x           |
| Normalised-earnings multiple, high    | x           |
| <b>CAPACITY AND VOLUME</b>            |             |
| Urea design capacity                  | tonnes/year |
| Ammonia design capacity               | tonnes/year |
| Ammonia per tonne of urea             | tonnes      |
| Urea capacity utilisation — FY2026/27 | % of plate  |
| Urea capacity utilisation — FY2027/28 | % of plate  |
| Urea capacity utilisation — FY2028/29 | % of plate  |
| Urea capacity utilisation — FY2029/30 | % of plate  |
| Urea capacity utilisation — FY2030/31 | % of plate  |
| Subsidised deliveries — FY2026/27     | tonnes      |
| Subsidised deliveries — FY2027/28     | tonnes      |
| Subsidised deliveries — FY2028/29     | tonnes      |
| Subsidised deliveries — FY2029/30     | tonnes      |
| Subsidised deliveries — FY2030/31     | tonnes      |
| Local free-market volume — FY2026/27  | tonnes      |
| Local free-market volume — FY2027/28  | tonnes      |
| Local free-market volume — FY2028/29  | tonnes      |
| Local free-market volume — FY2029/30  | tonnes      |
| Local free-market volume — FY2030/31  | tonnes      |

## PRICES

|                                           |                   |
|-------------------------------------------|-------------------|
| Export urea price — FY2026/27             | US\$/tonne        |
| Export urea price — FY2027/28             | US\$/tonne        |
| Export urea price — FY2028/29             | US\$/tonne        |
| Export urea price — FY2029/30             | US\$/tonne        |
| Export urea price — FY2030/31             | US\$/tonne        |
| Egyptian pounds per US dollar, spot       | EGP/US\$          |
| Long-run United States inflation          | %                 |
| Currency wedge — FY2026/27                | %                 |
| Egyptian pounds per US dollar — FY2026/27 | EGP/US\$          |
| Currency wedge — FY2027/28                | %                 |
| Egyptian pounds per US dollar — FY2027/28 | EGP/US\$          |
| Currency wedge — FY2028/29                | %                 |
| Egyptian pounds per US dollar — FY2028/29 | EGP/US\$          |
| Currency wedge — FY2029/30                | %                 |
| Egyptian pounds per US dollar — FY2029/30 | EGP/US\$          |
| Currency wedge — FY2030/31                | %                 |
| Egyptian pounds per US dollar — FY2030/31 | EGP/US\$          |
| Export duty                               | % of export value |
| Subsidised price — FY2026/27              | EGP/tonne         |
| Subsidised price — FY2027/28              | EGP/tonne         |
| Subsidised price — FY2028/29              | EGP/tonne         |
| Subsidised price — FY2029/30              | EGP/tonne         |
| Subsidised price — FY2030/31              | EGP/tonne         |
| Local free price as % of export parity    | %                 |
| Nitrate volume — FY2026/27                | tonnes            |
| Nitrate volume — FY2027/28                | tonnes            |
| Nitrate volume — FY2028/29                | tonnes            |
| Nitrate volume — FY2029/30                | tonnes            |
| Nitrate volume — FY2030/31                | tonnes            |
| Nitrate price, FY2024/25 basis            | EGP/tonne         |
| Other revenue — FY2026/27                 | EGP m             |
| Other revenue — FY2027/28                 | EGP m             |
| Other revenue — FY2028/29                 | EGP m             |
| Other revenue — FY2029/30                 | EGP m             |

|                           |       |
|---------------------------|-------|
| Other revenue — FY2030/31 | EGP m |
|---------------------------|-------|

**COST STACK — ONE ESCALATOR PER PHYSICAL DRIVER**

|                                            |              |
|--------------------------------------------|--------------|
| Gas per tonne of ammonia                   | m3           |
| Realised gas price                         | US\$/mmBtu   |
| Energy conversion                          | mmBtu per m3 |
| Other materials per tonne of urea          | EGP          |
| Wages in cost of sales, FY2024/25          | EGP m        |
| Purchased services, FY2024/25              | EGP m        |
| Inland freight per export tonne            | EGP          |
| Other selling cost, FY2024/25              | EGP m        |
| Administrative expense, FY2024/25          | EGP m        |
| Stoppage and abnormal gas cost — FY2026/27 | EGP m        |
| Stoppage and abnormal gas cost — FY2027/28 | EGP m        |
| Stoppage and abnormal gas cost — FY2028/29 | EGP m        |
| Stoppage and abnormal gas cost — FY2029/30 | EGP m        |
| Stoppage and abnormal gas cost — FY2030/31 | EGP m        |
|                                            |              |
| Egyptian inflation — FY2026/27             | %            |
|                                            |              |
| Egyptian inflation — FY2027/28             | %            |
|                                            |              |
| Egyptian inflation — FY2028/29             | %            |

|                                |   |
|--------------------------------|---|
| Egyptian inflation — FY2029/30 | % |
|--------------------------------|---|

|                                |   |
|--------------------------------|---|
| Egyptian inflation — FY2030/31 | % |
|--------------------------------|---|

**COST OF CAPITAL**

|                                    |   |
|------------------------------------|---|
| Observed ten-year government yield | % |
|------------------------------------|---|

|                                        |   |
|----------------------------------------|---|
| Sovereign default spread, rating basis | % |
|----------------------------------------|---|

|                                         |   |
|-----------------------------------------|---|
| Normalised risk-free rate, rating basis | % |
|-----------------------------------------|---|

|                                   |   |
|-----------------------------------|---|
| Equity risk premium, rating basis | % |
|-----------------------------------|---|

|                                     |   |
|-------------------------------------|---|
| Sovereign default spread, CDS basis | % |
|-------------------------------------|---|

|                                |   |
|--------------------------------|---|
| Equity risk premium, CDS basis | % |
|--------------------------------|---|

|      |   |
|------|---|
| Beta | x |
|------|---|

|                                                    |   |
|----------------------------------------------------|---|
| Normalised risk-free rate, CDS basis — THE CENTRAL | % |
|----------------------------------------------------|---|

|                                                       |   |
|-------------------------------------------------------|---|
| Cost of equity, rating basis — published, not central | % |
|-------------------------------------------------------|---|

|                                         |   |
|-----------------------------------------|---|
| Cost of equity, CDS basis — THE CENTRAL | % |
|-----------------------------------------|---|

|                              |   |
|------------------------------|---|
| Cost of debt, local currency | % |
|------------------------------|---|

|                                          |   |
|------------------------------------------|---|
| Cost of debt, dollar tranche, in dollars | % |
|------------------------------------------|---|

|                                                          |   |
|----------------------------------------------------------|---|
| Terminal currency wedge (the same identity, at the termi | % |
|----------------------------------------------------------|---|

|                                                           |   |
|-----------------------------------------------------------|---|
| Dollar debt at local-equivalent cost, year one (FY2026/27 | % |
|-----------------------------------------------------------|---|

|                                 |   |
|---------------------------------|---|
| Share of debt in local currency | % |
|---------------------------------|---|

|                              |   |
|------------------------------|---|
| Blended pre-tax cost of debt | % |
|------------------------------|---|

|          |   |
|----------|---|
| Tax rate | % |
|----------|---|

|               |   |
|---------------|---|
| Equity weight | % |
|---------------|---|

|             |   |
|-------------|---|
| Debt weight | % |
|-------------|---|

|                           |   |
|---------------------------|---|
| Cost of capital, year one | % |
|---------------------------|---|

Terminal inflation (the same figure terminal growth is set%

Long-run real rate %

Terminal normalised risk-free rate %

Long-run dollar cost of debt %

Terminal cost of debt, local-equivalent %

TERMINAL COST OF CAPITAL %

Terminal growth %

Terminal return on invested capital %

## **CAPITAL, WORKING CAPITAL AND THE PROJECT**

Depreciation charge, FY2024/25 EGP m

Amortisation, FY2024/25 EGP m

Project capital expenditure — FY2026/27 EGP m

Project capital expenditure — FY2027/28 EGP m

Project capital expenditure — FY2028/29 EGP m

Project capital expenditure — FY2029/30 EGP m

Project capital expenditure — FY2030/31 EGP m

Depreciation escalation on the existing base per year

|                                                         |              |
|---------------------------------------------------------|--------------|
| Depreciation rate on the new complex                    | per year     |
| New complex nameplate                                   | tonnes/day   |
| Operating days a year                                   | days         |
| Steady-state depreciation wedge in the terminal year    | ratio        |
| The complex is completed and in service (1 = yes)       | switch       |
| Approved cost of the new complex                        | EGP m        |
| Maintenance capital expenditure                         | % of revenue |
| Wind-down cost if the programme is stopped              | EGP m        |
| Ammonia per tonne of nitrate                            | tonnes       |
| Project nameplate (derived, not disclosed)              | tonnes/year  |
| Cross-check: nameplate derived from the ammonia surplus | tonnes/year  |
| Project utilisation in the terminal year                | %            |
| Nitrate price                                           | US\$/tonne   |
| Project cash margin                                     | % of revenue |
| Days sales outstanding                                  | days         |
| Days inventory outstanding                              | days         |
| Days payable outstanding                                | days         |

Value

1,986,578,999

14.41

49.00

8.0

10.0

12.0

574,875

438,000

0.620

91.3%

92.2%

93.0%

93.9%

94.8%

155,000

160,000

165,000

170,000

175,000

40,000

41,000

42,000

43,000

44,000

530.0

530.0

530.0

530.0

530.0

49.79

2.4%

11.33%

55.43

7.91%

59.81

5.71%

63.23

4.74%

66.23

4.49%

69.20

10.0%

7,526

8,429

9,272

10,106

10,915

90.0%

26,000

26,000

26,000

26,000

26,000

20,000

140.0

152.0

163.0

174.0



186.0

1,292

4.68  
0.03531

2,142

212.9

62.6

1,742

176.3

359.6

150.0

120.0

100.0

90.0

80.0

14.0%

10.5%

8.3%

7.3%

7.0%

23.00%  
6.37%

16.63%  
13.94%  
3.41%

9.41%

1.030  
19.59%  
30.99%  
29.28%

19.40%  
11.70%

4.49%  
24.35%

0.3%  
24.34%

22.5%  
66.2%  
33.8%  
25.76%

7.0%  
5.5%  
12.89%  
9.00%  
13.91%  
18.59%

7.0%  
18.0%

771.2  
119.4

2,599

3,100

3,300

3,200

2,489  
2.0%

3.95%

800

330

2.5%

1

20,342

1.1%

1,000

0.43

264,000

189,863

50.0%

280

32.0%

26.8

165.2

83.2

## Source

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 14 share capital

EGCH closing price on the Egyptian Exchange, 3 September 2026. The previous edition was struck on the 6 August close of 13.98

Constructed: the rate that reconciles note 20 export revenue to the disclosed export price and the implied export tonnage

Multiple applied to mid-cycle profit after tax, low end

Multiple applied to mid-cycle profit after tax, central

Multiple applied to mid-cycle profit after tax, high end

Constructed: 1,575 t/day contractual plate times 365 days

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 28

Constructed: FY2024/25 ammonia output divided by FY2024/25 urea output, both from the auditor's product cost table

Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.

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Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025, a 46% compliance rate the forecast does not assume away.

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Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.

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Held FLAT in nominal dollars at the opening level. No forecast of a traded commodity price is defensible, which is the convention this house applies to the same class of input elsewhere; the previous path fell 17% over five years on a construction nothing sourced.

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Market quote

Long-run United States inflation, the other leg of the purchasing-power wedge

Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year

Derived: the prior year's rate carried on that year's wedge

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Derived: the prior year's rate carried on that year's wedge

2026 replacement of the shortfall levy with an ad-valorem duty tied to the global price

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: local free-market urea clears at about 90% of export parity, implied by the

FY2024/25 note-20 local revenue net of the subsidised and nitrate legs

Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.

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Implied by the note-20 local revenue net of the subsidised and free-market urea legs; indexed forward on the currency

Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.

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Constructed and FLAGGED: the statements give a single materials line and do not split gas from the rest. Gas is set at three quarters of that line, which implies 1,292 m3 per tonne of ammonia — inside the auditor's own disclosed 1,025 to 1,771 range. This is the largest modelled allocation in the study

Constructed: the company's own Q1 disclosure values 31,313,235 m3 of lost gas at EGP 251m, or EGP 8.016/m3, which converts to about US\$4.68/mmBtu at the prevailing rate — below the US\$5.75 contract price, which the study carries as its downside case

Constructed: standard gross calorific conversion

The FY2024/25 materials line less modelled gas, over urea output: packaging, catalysts and consumable spares

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 freight and commissions over the implied export tonnage

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 selling materials, wages and other selling expense

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), income statement

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.

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Egypt ten-year government bond yield, market quote

Country risk premium workbook, original file, Egypt row, adjusted default spread

Country risk enters ONCE, through the premium below. Using the raw local yield with a country-loaded premium would charge Egypt's sovereign risk twice.

Country risk premium workbook, original file, Egypt row, rating basis total equity risk

Country risk premium workbook, original file, Egypt row, ten-year CDS spread

Country risk premium workbook, original file, Egypt row, equity risk premium based on the sovereign credit default swap. CORRECTED 9 August 2026: the study had 9.4247%, reconstructed from a 3.55% spread the file does not carry. Damodaran's Egypt row reads Own-stock weekly regression, 253 observations over 4.9 years against the published EGX30 index (as of 2026-07-22). R-squared 0.250. standard error 0.191. 90% interval 0.72 to 1.34

Constructed: EGP 96,896,001 of interest on the EGP 500,000,000 holding-company facility drawn in FY2024/25 — the company's own latest local borrowing

Constructed: EGP 1,338.0m of FY2024/25 interest on a mean dollar balance of about

Constructed: the central bank's LONG-RUN 5% target against about 2.4% in the United States, on the same relative-purchasing-power identity the study states. CORRECTED 9 August 2026: the study previously asserted 4.5% flat while stating a derivation that produces a different number in every year. The wedge is now computed from the identity rather than asserted and the currency path is built from it year by year

The pound tranche of the project loan was repaid in June 2024, so the book is almost entirely dollar

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 5-16 income tax

Market-value equity over market-value equity plus debt

One less the equity weight



The inflation embedded in the TERMINAL discount rate, taken from the house macro path and NOT typed here — the SAME figure terminal growth is set at, so the two cannot drift apart. (This sentence previously described the value as 5%, the central bank's Q4-2028 target, while the path supplies 7%: a 7% value carrying a 5% justification, which is exactly the kind of unfalsifiable typed rate this series does not permit. The value has always come from the path; only the sentence was wrong.) CORRECTED 1 September 2026: the 08-08-2026 edition built the terminal risk-free rate on the 7% Q4-2026 target while growing the perpetuity at 5%, a perpetual real decline of about 2% a year that no disclosure supports (the same defect the AMOC version found in 2015). Terminal growth, the terminal risk-free rate, and the terminal real rate. The house real-rate convention, used to build the terminal risk-free rate from its own components rather than from a spot yield

Constructed: long-run corporate dollar cost of debt

Terminal growth from the house macro path: terminal inflation plus a STATED real growth of zero, so the real assumption is written down rather than inferred from the gap to the discount rate. It was 5% (+/-2) for Q4 2028. CORRECTED 9 August 2026 after external critique: the study previously used the 7% Q4-2026 target, which expires one quarter after the anchor date, as a perpetuity anchor -- and then defended it by calling 5% 'below the target', inverting the central bank's own target structure. A perpetuity takes the longest-horizon target there is. Constructed: terminal return on invested capital, which sets the terminal reinvestment rate as growth divided by return on capital

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 6 fixed-asset register  
 Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 10 usufruct intangible  
 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year  
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 Constructed: escalation on the existing depreciation base, reflecting ordinary additions to the plant already in service

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 5-2 depreciation rates

EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states it' and derived the plate from the ammonia surplus instead

Constructed: operating days a year for a continuous nitrate line, net of the turnaround the company takes annually

DERIVED: the steady-state currency depreciation the terminal inflation (5%) implies against long-run US inflation (2.4%) on the relative purchasing-power identity — the same wedge that carries the dollar debt in the terminal year. RE-SET 1 September 2026 from a typed 2.5% so that the terminal currency, the terminal cost of debt and the last explicit year share one Case switch. Zero in the capital-discipline column, where the plant is never finished and therefore never depreciated.

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 18-3 — bank-approved investment cost, agreement of 25

June 2025: dual-currency tranches at the approval rate

Maintenance capital expenditure as a share of revenue, RE-ANCHORED 9 August 2026 on the company's OWN pre-project cash-flow statements: EGP 123.3m spent across FY2021/22 and FY2022/23 on EGP 11,052.9m of revenue. The first issue of this study used a 3.0% mature-plant standard instead, which is 2.7 times what this company has ever spent to keep its plant running, and which no disclosure supports. The replacement-rate framing (gross fixed assets at the disclosed 3.05% machinery rate, 6.11% of revenue) is carried as the published

Constructed: capital-discipline case only: the cost of stopping the programme in the first forecast year — contract settlement and site preservation. No filing states it; it is the study's estimate and is flagged.

Constructed: ammonia per tonne of ammonium nitrate through the nitric-acid route plus direct neutralisation

EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states

The construction the study used before the engineering award was found. Retained as a cross-check on the disclosed plate, not as the plate itself.

Constructed: project utilisation in the terminal year, central case

Mid-cycle ammonium nitrate pricing

Constructed: conversion margin on ammonium nitrate over its own ammonia feedstock

Constructed: FY2024/25 receivables over revenue

Constructed: FY2024/25 inventory over cost of sales

Constructed: FY2024/25 payables over cost of sales

## ENTERPRISE VALUE TO EQUITY — THE BRIDGE, B

*This company has one operating business, so there are no parts to sum. What the bridge does carry is the non-operating stock and the net debt. and it carries them for*

| Component                                     | Programme carried through (EGP m) |
|-----------------------------------------------|-----------------------------------|
| Present value of the explicit window          | 3,837                             |
| Present value of the terminal value           | 7,248                             |
| Enterprise value                              | 11,085                            |
| Terminal value as a share of enterprise value | 65.4%                             |
| Less net debt                                 | -10,032                           |
| Plus listed equity stakes at market           | 1,383                             |
| Plus investment property                      | 2,155                             |
| Equity value                                  | 4,591                             |
| Value per share (EGP)                         | 2.31                              |

BOTH SIDES OF '

Programme  
stopped (EGP m)

10,997

7,931

18,929

41.9%

-10,032

1,383

2,155

12,434

6.26

## THE JUDGEMENT

### Source

Five years of free cash flow to the firm, discounted on the glide

The perpetuity, capitalised at the terminal cost of capital

Reported because on this company it is the number that decides the answer

Gross debt less cash at 31 March 2026

Remaining holdings after the partial disposal in the first half

Carried at the revalued amount in the statements

## SEGMENTS — THE UNIT BUILD, TONNES TIMES

*The company reports one operating segment, so the build goes below it to the product and the channel, which is the finest level the statements source.*

| Tonnes and prices                            | FY2026/27     |
|----------------------------------------------|---------------|
| Urea production (tonnes)                     | 524,861       |
| Ammonia produced, capped at the design plate | 325,356       |
| Subsidised volume (tonnes)                   | 155,000       |
| Local free-market volume (tonnes)            | 40,000        |
| Export volume (tonnes)                       | 329,861       |
| Export price net of duty (EGP/tonne)         | 26,440        |
| Local free-market price (EGP/tonne)          | 26,440        |
| Nitrate price (EGP/tonne)                    | 22,625        |
| Export revenue (EGP m)                       | 8,722         |
| Subsidised revenue (EGP m)                   | 1,167         |
| Local free-market revenue (EGP m)            | 1,058         |
| Nitrate revenue (EGP m)                      | 588           |
| Other revenue (EGP m)                        | 140           |
| <b>REVENUE (EGP m)</b>                       | <b>11,674</b> |
| Gas price (EGP per m3)                       | 9.16          |
| Natural gas (EGP m)                          | 3,850         |
| Cumulative inflation index                   | 1.140         |
| Other materials (EGP m)                      | 1,282         |
| Wages (EGP m)                                | 243           |
| Purchased services (EGP m)                   | 71            |
| Depreciation and amortisation (EGP m)        | 891           |
| <b>COST OF SALES (EGP m)</b>                 | <b>6,337</b>  |
| <b>GROSS PROFIT (EGP m)</b>                  | <b>5,337</b>  |
| Gross margin — an OUTPUT, never an input     | 45.7%         |
| Inland freight to port (EGP m)               | 655           |
| Other selling cost (EGP m)                   | 201           |
| Administrative (EGP m)                       | 410           |
| Stoppage and abnormal gas cost (EGP m)       | 150           |
| <b>EBIT (EGP m)</b>                          | <b>3,921</b>  |
| <b>EBITDA (EGP m)</b>                        | <b>4,812</b>  |
| EBITDA margin — an OUTPUT                    | 41.2%         |

Margins are outputs of the build, not inputs to it. Nothing on this sheet sets a margin; each one falls out of tonnes,

## S PRICE

| FY2027/28 | FY2028/29 | FY2029/30 | FY2030/31 |
|-----------|-----------|-----------|-----------|
| 530,035   | 534,634   | 539,808   | 544,982   |
| 328,563   | 331,414   | 334,621   | 337,828   |
| 160,000   | 165,000   | 170,000   | 175,000   |
| 41,000    | 42,000    | 43,000    | 44,000    |
| 329,035   | 327,634   | 326,808   | 325,982   |
| 28,532    | 30,162    | 31,590    | 33,009    |
| 28,532    | 30,162    | 31,590    | 33,009    |
| 24,414    | 25,809    | 27,031    | 28,246    |
| 9,388     | 9,882     | 10,324    | 10,760    |
| 1,349     | 1,530     | 1,718     | 1,910     |
| 1,170     | 1,267     | 1,358     | 1,452     |
| 635       | 671       | 703       | 734       |
| 152       | 163       | 174       | 186       |
| 12,693    | 13,513    | 14,277    | 15,043    |
| 9.88      | 10.45     | 10.94     | 11.44     |
| 4,196     | 4,474     | 4,731     | 4,991     |
| 1.260     | 1.364     | 1.462     | 1.565     |
| 1,430     | 1,562     | 1,691     | 1,827     |
| 268       | 290       | 311       | 333       |
| 79        | 85        | 91        | 98        |
| 1,009     | 1,147     | 1,292     | 1,434     |
| 6,982     | 7,558     | 8,118     | 8,683     |
| 5,711     | 5,955     | 6,160     | 6,360     |
| 45.0%     | 44.1%     | 43.1%     | 42.3%     |
| 722       | 778       | 832       | 888       |
| 222       | 240       | 258       | 276       |
| 453       | 490       | 526       | 563       |
| 120       | 100       | 90        | 80        |
| 4,194     | 4,346     | 4,453     | 4,553     |
| 5,203     | 5,492     | 5,746     | 5,987     |
| 41.0%     | 40.6%     | 40.2%     | 39.8%     |

## LENS 3 — RELATIVE MULTIPLES · LENS 4 — NOI

*Two cross-checks on the cash-flow lens, each reaching the answer from a direction the cash-flow model cannot reach it from.*

| Relative multiples                           | Value   |
|----------------------------------------------|---------|
| Forward EBITDA, FY2026/27 (EGP m)            | 4,812   |
| Egyptian industrial range, low               | 6.0     |
| Egyptian industrial range, high              | 9.9     |
| Mid-point                                    | 8.0     |
| Enterprise value at the mid-point (EGP m)    | 38,255  |
| Less net debt (EGP m)                        | -10,032 |
| Plus non-operating assets (EGP m)            | 3,538   |
| Value per share on this lens (EGP)           | 15.99   |
| At the low multiple (EGP)                    | 11.26   |
| At the high multiple (EGP)                   | 20.71   |
| Multiple the market pays                     | 8.0     |
| Multiple this model's cash-flow lens implies | 2.3     |

This lens gives the highest of the four answers, and it is worth saying why: a multiple of forward EBITDA never asks what the capital programme does to cash. It values the plant as though the money being spent on the new complex were not being spent. That is exactly the question the cash-flow lens exists to

| Normalised earnings power — every intermediate line | Value   |
|-----------------------------------------------------|---------|
| Mid-cycle urea output (tonnes)                      | 540,542 |
| Export tonnes at mid-cycle                          | 345,542 |
| Mid-cycle export price (US\$/tonne)                 | 400     |
| Exchange rate used                                  | 55.89   |
| Export revenue (EGP m)                              | 6,952   |
| Other revenue legs (EGP m)                          | 2,704   |
| Mid-cycle revenue (EGP m)                           | 9,657   |
| Mid-cycle cash cost (EGP m)                         | 6,829   |
| Mid-cycle EBITDA (EGP m)                            | 2,828   |
| Mid-cycle operating profit after tax (EGP m)        | 1,502   |
| Value per share at the central multiple (EGP)       | 4.29    |
| At the low multiple (EGP)                           | 2.78    |
| At the high multiple (EGP)                          | 5.80    |



# RMALISED EARNINGS POWER

| Note                                   |
|----------------------------------------|
| From the unit build                    |
| Observed trading and transaction range |
| Observed trading and transaction range |
| 31 March 2026                          |
| Listed stakes and investment property  |

The gap between this line and the next is the whole disagreement in one

| Note                                                                                                               |
|--------------------------------------------------------------------------------------------------------------------|
| Three-year average of audited output: 586.4kt, 521.9kt and 513.4kt                                                 |
| Output less the subsidised and free-market legs                                                                    |
| Above the 2015-2020 average of roughly US\$250 and well below the August 2026 quote of US\$545                     |
| The second year of the currency path                                                                               |
| Subsidised, local free market, nitrates and other, on the same paths as the main build                             |
| Gas, other materials, wages, services, freight, other selling and administration, each escalated on its own driver |
| After depreciation and tax                                                                                         |
| A mature single-asset industrial in a high-inflation economy does not deserve                                      |

## DISCOUNTED CASH FLOW — THE CONTESTED J

Column B carries the programme through; column D stops it. Both are complete valuations. They are never averaged.

| EGP million                            | FY2026/27 | FY2027/28 |
|----------------------------------------|-----------|-----------|
| Revenue                                | 11,674    | ##        |
| <b>EBITDA</b>                          | 4,812     | ##        |
| EBITDA margin                          | 41.2%     | ##        |
| Depreciation and amortisation          | 891       | ##        |
| <b>EBIT</b>                            | 3,921     | ##        |
| NOPAT = EBIT x (1 - tax rate)          | 3,039     | ##        |
| Add back depreciation                  | 891       | ##        |
| Less capital expenditure               | -2,729    | ##        |
| Less change in working capital         | 788       | ##        |
| <b>FREE CASH FLOW TO THE FIRM</b>      | 1,989     | ##        |
| Discount rate from the glide           | 25.76%    | ##        |
| Discount factor, compounded            | 0.7952    | ##        |
| <b>PRESENT VALUE OF FREE CASH FLOW</b> | 1,581     | ##        |

## TERMINAL BLOCK AND THE BRIDGE — BOTH SIDES

|                                                   | Programme carried through |
|---------------------------------------------------|---------------------------|
| Year-five EBIT grown at terminal growth           | 4,872                     |
| Project revenue in the terminal year              | 2,672                     |
| Project operating profit, after its own depreciat | 51                        |
| Terminal EBIT                                     | 4,923                     |
| Terminal NOPAT                                    | 3,815                     |
| Reinvestment rate = growth / return on capital    | 38.9%                     |
| Terminal free cash flow                           | 2,332                     |
| TERMINAL VALUE                                    | 20,121                    |
| Present value of the terminal value               | 7,248                     |
| Present value of the explicit window              | 3,837                     |
| <b>ENTERPRISE VALUE</b>                           | 11,085                    |
| <b>TERMINAL VALUE AS A SHARE OF ENTER</b>         | 65.4%                     |
| Gross debt, 31 March 2026                         | 14,639                    |
| Cash and equivalents                              | 4,607                     |

|                                |              |
|--------------------------------|--------------|
| Net debt                       | 10,032       |
| Listed equity stakes at market | 1,383        |
| Investment property            | 2,155        |
| <b>VALUE PER SHARE (EGP)</b>   | <b>2.31</b>  |
| <b>EQUITY VALUE</b>            | <b>4,591</b> |

**PROGRAMME STOPPED — the same operating build, project ca**

| <b>EGP million</b>                              | <b>FY2026/27</b> | <b>FY2027/28</b> |
|-------------------------------------------------|------------------|------------------|
| Free cash flow, programme carried through       | 1,989 ##         |                  |
| Add back project capital not spent              | 2,599 ##         |                  |
| Less the wind-down cost                         | -1,000 0         |                  |
| Less the tax shield on depreciation never incur | 0 -23            |                  |
| <b>FREE CASH FLOW, PROGRAMME STOPPED</b>        | <b>3,588 ##</b>  |                  |
| Present value                                   | 2,853 ##         |                  |

# UDGEMENT IN TWO COLUMNS

| FY2028/29 | FY2029/30 | FY2030/31 |
|-----------|-----------|-----------|
| 13,513    | 14,277    | 15,043    |
| 5,492     | 5,746     | 5,987     |
| 40.6%     | 40.2%     | 39.8%     |
| 1,147     | 1,292     | 1,434     |
| 4,346     | 4,453     | 4,553     |
| 3,368     | 3,451     | 3,529     |
| 1,147     | 1,292     | 1,434     |
| -3,451    | -3,359    | -2,657    |
| -190      | -182      | -183      |
| 874       | 1,202     | 2,122     |
| 22.34%    | 21.17%    | 20.21%    |
| 0.5247    | 0.4330    | 0.3602    |
| 459       | 521       | 764       |

| Programme<br>stopped |
|----------------------|
| 5,387                |
| 0                    |
| 0                    |
| 5,387                |
| 4,175                |
| 38.9%                |
| 2,551                |
| 22,018               |
| 7,931                |
| 10,997               |
| 18,929               |
| 41.9%                |

10,032  
1,383  
2,155  
6.26  
12,434

**Capital removed**

| <b>FY2028/29</b> | <b>FY2029/30</b> | <b>FY2030/31</b> |
|------------------|------------------|------------------|
| 874              | 1,202            | 2,122            |
| 3,300            | 3,200            | 2,489            |
| 0                | 0                | 0                |
| -51              | -80              | -108             |
| 4,124            | 4,322            | 4,503            |
| 2,164            | 1,872            | 1,622            |

**Case switches**

|                                     |       |
|-------------------------------------|-------|
| Programme carried through (1 = yes) | 1     |
| Wind-down cost if stopped (EGP m)   | 1,000 |

## INCOME STATEMENT — THREE YEARS HISTORICAL, FIVE YEARS

*History is carried exactly as issued. The forecast is a formula reading the unit build.*

| EGP million                                  | FY2022/23 | FY2023/24 | FY2024/25 |
|----------------------------------------------|-----------|-----------|-----------|
| Revenue                                      | 6,612     | 6,532     | 8,603     |
| Cost of sales                                | 3,574     | 4,396     | 5,300     |
| Gross profit                                 | 3,038     | 2,136     | 3,302     |
| Selling and distribution                     | 474       | 563       | 786       |
| Administrative                               | 189       | 298       | 360       |
| EBIT before other items                      | 2,375     | 1,276     | 2,156     |
| Depreciation and amortisation                | 719       | 773       | 896       |
| EBITDA                                       | 3,094     | 2,049     | 3,052     |
| Gross margin                                 | 45.9%     | 32.7%     | 38.4%     |
| EBITDA margin                                | 46.8%     | 31.4%     | 35.5%     |
| Net profit as reported                       | 1,151     | 2,538     | 987       |
| Less one-off investment-property revaluation |           | 2,035     |           |
| Net profit, underlying                       |           | 503       |           |

The EBIT line is struck before provisions, currency translation and other income and expense, so it measures trading rather than the statements' own operating result, which mixes all three. FY2025/26 is nine months

## E YEARS FORECAST

| FY2025/26E | FY2026/27 | FY2027/28 | FY2028/29 | FY2029/30 |
|------------|-----------|-----------|-----------|-----------|
| 10,379     | 11,674    | 12,693    | 13,513    | 14,277    |
| 5,825      | 6,337     | 6,982     | 7,558     | 8,118     |
| 4,554      | 5,337     | 5,711     | 5,955     | 6,160     |
| 980        | 856       | 944       | 1,019     | 1,090     |
| 365        | 410       | 453       | 490       | 526       |
| 3,209      | 3,921     | 4,194     | 4,346     | 4,453     |
| 891        | 891       | 1,009     | 1,147     | 1,292     |
| 4,099      | 4,812     | 5,203     | 5,492     | 5,746     |
| 43.9%      | 45.7%     | 45.0%     | 44.1%     | 43.1%     |
| 39.5%      | 41.2%     | 41.0%     | 40.6%     | 40.2%     |



**FY2030/31**

15,043

8,683

6,360

1,164

563

4,553

1,434

5,987

42.3%

39.8%

## BALANCE SHEET — AS ISSUED, AND ROLLED FORWARD

*History exactly as issued at each reporting date.  
The forecast rolls property on capital expenditure  
less depreciation and working capital on the*

| EGP million                       | 30 Jun 2023 | 30 Jun 2024 |
|-----------------------------------|-------------|-------------|
| Net fixed assets                  | 11,300      | 14,144      |
| Construction in progress          | 56          | 2,535       |
| Investment property               | 0           | 2,035       |
| Investments at fair value         | 1,855       | 2,491       |
| Intangible assets                 | 1,909       | 2,376       |
| Inventory                         | 1,392       | 1,615       |
| Receivables                       | 799         | 858         |
| Cash and equivalents              | 1,416       | 3,103       |
| Total assets                      | 18,728      | 29,158      |
| Paid-in capital                   | 5,933       | 9,933       |
| Reserves and retained earnings    | 1,317       | 4,627       |
| Long-term bank loans              | 8,425       | 11,226      |
| Holding-company loans             | 50          | 0           |
| Deferred tax liability            | 1,469       | 1,001       |
| Provisions                        | 144         | 432         |
| Payables and other                | 1,368       | 1,587       |
| Current portion of long-term debt | 21          | 354         |
| Total equity and liabilities      | 18,728      | 29,161      |
| Gross interest-bearing debt       | 8,497       | 11,580      |
| Net debt                          | 7,080       | 8,477       |

### FORECAST ROLL-FORWARD

| EGP million                        | FY2026/27 | FY2027/28 |
|------------------------------------|-----------|-----------|
| Property and construction, opening | 18,711    | 20,550    |
| Capital expenditure                | 2,729     | 3,242     |
| Depreciation and amortisation      | 891       | 1,009     |
| Property and construction, closing | 20,550    | 22,783    |

## RD

| 30 Jun 2025 | 31 Mar 2026 |
|-------------|-------------|
| 13,587      | 13,058      |
| 3,790       | 5,654       |
| 2,161       | 2,155       |
| 2,163       | 1,383       |
| 2,257       | 2,171       |
| 2,400       | 3,378       |
| 631         | 1,230       |
| 3,057       | 4,607       |
| 30,046      | 33,634      |
| 9,933       | 9,933       |
| 5,430       | 6,273       |
| 11,183      | 14,386      |
| 597         | 46          |
| 991         | 961         |
| 309         | 292         |
| 1,208       | 1,539       |
| 397         | 207         |
| 30,048      | 33,637      |
| 12,178      | 14,639      |
| 9,120       | 10,032      |

| FY2028/29 | FY2029/30 | FY2030/31 |
|-----------|-----------|-----------|
| 22,783    | 25,087    | 27,154    |
| 3,451     | 3,359     | 2,657     |
| 1,147     | 1,292     | 1,434     |
| 25,087    | 27,154    | 28,377    |

## CASH FLOW — WORKING CAPITAL FROM THE DISCLOSURE

*No plugs: receivables, inventory and payables are projected from the day counts the audited statements themselves imply, and the change feeds*

| EGP million                              | FY2026/27    | FY2027/28  |
|------------------------------------------|--------------|------------|
| Revenue                                  | 11,674       | 12,693     |
| Cost of sales                            | 6,337        | 6,982      |
| Receivables                              | 856          | 931        |
| Inventory                                | 2,869        | 3,161      |
| Payables                                 | 1,444        | 1,591      |
| Net working capital                      | 2,281        | 2,501      |
| Opening net working capital, 31 March 20 | 3,069        |            |
| Change in net working capital            | -788         | 220        |
| <b>Free cash flow to the firm</b>        | <b>1,989</b> | <b>798</b> |

## CAPITAL EXPENDITURE RECORD — WHAT THE COMPANY ACTUALLY

| Year                                                     | Capital expenditure paid (EGP m) | Revenue (EGP m) |
|----------------------------------------------------------|----------------------------------|-----------------|
| FY2021/22                                                | 80.8                             | 4,441           |
| FY2022/23                                                | 42.5                             | 6,612           |
| FY2023/24                                                | 2,396.6                          | 6,532           |
| FY2024/25                                                | 1,545.1                          | 8,603           |
| 9M FY2025/26                                             | 1,949.1                          | 7,315           |
| Pre-project maintenance rate, the two clean years pooled |                                  |                 |
| Replacement-rate framing, the published rate             | 17,022                           | 3.95%           |
| Full-year project spend at the observed rate             | 2,598.8                          |                 |
| Rate when the facility was signed, 25 June               | 50.00                            |                 |
| Approved cost of the programme (EGP m)                   | 6,422                            | 278.4           |
| Spent by 31 March 2026 (construction in progress)        | 5,654                            |                 |
| Still to spend                                           |                                  |                 |

The two shaded years at the top are the answer to the question this block exists to settle. With nothing being built, this plant cost EGP 80.8m and then EGP 42.5m a year to keep running

## USED DAY COUNTS

| FY2028/29 | FY2029/30 |
|-----------|-----------|
| 13,513    | 14,277    |
| 7,558     | 8,118     |
| 991       | 1,047     |
| 3,422     | 3,675     |
| 1,722     | 1,850     |
| 2,691     | 2,873     |
| 190       | 182       |
| 874       | 1,202     |

## Y SPENDS

| Of revenue                                                       | What it was |
|------------------------------------------------------------------|-------------|
| 1.8% Before the project                                          |             |
| 0.6% Before the project                                          |             |
| 36.7% The build begins                                           |             |
| 18.0% Building                                                   |             |
| 26.6% Nine months actual                                         |             |
| 1.1% THE MAINTENANCE DRIVER. Assumptions reads this ce           |             |
| 5.8% Gross fixed assets at the disclosed machinery rate, over fi |             |
| THE PROJECT PATH'S FIRST YEAR. Assumptions reads t               |             |
| EGP per US dollar                                                |             |
| 20,342 EGP tranche, dollar tranche, and the two in one currency  |             |
| 14,688 THE PROJECT PATH'S LAST YEAR is this less the four be     |             |

**FY2030/31**

15,043

8,683

1,104

3,931

1,979

3,056

183

2,122

11.

first-forecast-year revenue. NOT used in the valuation — the downside case, published in this cell.

Before it, so the path completes the programme by construction

hed beside the central and never averaged in.

## SUMMARY FINANCIALS — THE WHOLE MODEL ON ONE

| EGP million                | FY2026/27 | FY2027/28 |
|----------------------------|-----------|-----------|
| Revenue                    | 11,674    | 12,693    |
| EBITDA                     | 4,812     | 5,203     |
| EBITDA margin              | 41.2%     | 41.0%     |
| EBIT                       | 3,921     | 4,194     |
| NOPAT                      | 3,039     | 3,251     |
| Capital expenditure        | 2,729     | 3,242     |
| Free cash flow to the firm | 1,989     | 798       |
| Present value              | 1,581     | 512       |
| Urea output (tonnes)       | 524,861   | 530,035   |
| Export tonnes              | 329,861   | 329,035   |
| Export price (US\$/t)      | 530.0     | 530.0     |

### YEARS THREE TO FIVE AS RANGES — multipliers measured on the co

*Every figure below carries the number of tested cases it rests on; years one and two are left as*

Revenue — low multiplier x

Revenue — high multiplier x

Revenue — low of the range (EGP m)

Revenue — high of the range (EGP m)

Tested cases behind the revenue band



NE PAGE

| FY2028/29 | FY2029/30 | FY2030/31 |
|-----------|-----------|-----------|
| 13,513    | 14,277    | 15,043    |
| 5,492     | 5,746     | 5,987     |
| 40.6%     | 40.2%     | 39.8%     |
| 4,346     | 4,453     | 4,553     |
| 3,368     | 3,451     | 3,529     |
| 3,451     | 3,359     | 2,657     |
| 874       | 1,202     | 2,122     |
| 459       | 521       | 764       |
| 534,634   | 539,808   | 544,982   |
| 327,634   | 326,808   | 325,982   |
| 530.0     | 530.0     | 530.0     |

company's own history

points.

|        |        |        |
|--------|--------|--------|
| 0.11   | 0.04   | 0.08   |
| 1.18   | 1.20   | 1.33   |
| 1,445  | 507    | 1,220  |
| 15,881 | 17,139 | 19,995 |
| 11     | 10     | 9      |

## PROBABILISTIC PRICE MAP — SIMULATION OUTPUT

*PASTED CLASS 3. These are statistics of a fifty-thousand-path simulation of the traded price.*

| Percentile                   | One month (EGP) | Three months (EGP) | Against spot, 1M |
|------------------------------|-----------------|--------------------|------------------|
| Percentile 5                 | 12.04           | 10.69              | -16.4%           |
| Percentile 25                | 13.35           | 13.03              | -7.4%            |
| Percentile 50                | 14.19           | 14.64              | -1.5%            |
| Percentile 75                | 15.09           | 16.43              | 4.7%             |
| Percentile 95                | 16.73           | 20.04              | 16.1%            |
| Probability the price ends a | 56.7%           | 60.7%              |                  |
| Spot at the anchor date      | 14.41           |                    |                  |
| Anchor date                  | 2026-08-06      |                    |                  |
| Check date                   | 2026-09-06      | 2026-11-08         |                  |

### LEVEL-TOUCH LADDER — probability the price TRADES THROUGH a level at

| Level    | One month | Three months |
|----------|-----------|--------------|
| Up 5%    | 56.1%     | 78.7%        |
| Up 10%   | 30.1%     | 61.7%        |
| Up 15%   | 14.8%     | 47.1%        |
| Up 20%   | 7.3%      | 34.7%        |
| Down 5%  | 43.6%     | 63.4%        |
| Down 10% | 18.3%     | 40.8%        |
| Down 15% | 6.9%      | 24.9%        |
| Down 20% | 2.6%      | 14.5%        |

How this was tested. The same method was run backwards over the company's own fifteen-year price history in non-overlapping three-month windows and

**Against spot,  
3M**

-25.8%

-9.6%

1.6%

14.0%

39.1%

**t any point before the check date**

## SENSITIVITY — WHOLE-MODEL RE-I

*PASTED CLASS 3. Each cell is a complete revaluation at that pair of inputs. THIS GRID DOES NOT REDRAW when a driver changes on Assumptions.*

### Value per share (EGP) — long-run export price :

US\$ 380/t long-run export price

US\$ 420/t long-run export price

US\$ 460/t long-run export price

US\$ 500/t long-run export price

US\$ 540/t long-run export price

The crux in observable units. Both inputs are observable rather than matters of opinion: the first prints daily on a listed futures contract, the second can be read against the sovereign's own borrowing cost. A reader who believes urea holds above US\$540 for a decade, or that Egyptian equity risk clears below

## THE CONTESTED CONSTRUCTIONS — one con

### Choice made

Country risk priced off the sovereign's credit rating

A cost of capital that glides from its spot build to a terminal rate made from its own long-run

Terminal growth at the central bank's medium-term inflation target

The cost of debt at the company's own disclosed rates — 19.4% on the local facility, 11.7% in dollars

Beta from the five-year weekly regression of the share against the published EGX30 index

Gas at the realised price the company's own loss disclosure implies

The new complex earning at half its derived nameplate in the terminal year

Maintenance capital expenditure at the company's own observed pre-project rate of 1.12% of revenue

Terminal reinvestment of 38.9% of operating profit after tax, from growth over an 18% return on

Project spending anchored on the observed run rate: the nine-month actual extended to a full year

Each row is a complete re-run of the model through the same case machinery with one component moved and everything else held. Column C is pasted class 3 and DOES NOT REDRAW; column D is a formula against the published answer

## RUNS

against the terminal cost of capital

|  | 17.0% terminal | 18.5% terminal |
|--|----------------|----------------|
|  | -2.49          | -2.63          |
|  | -0.80          | -1.05          |
|  | 0.89           | 0.53           |
|  | 2.57           | 2.10           |
|  | 4.26           | 3.68           |

upon component moved, model re-run

The published a

| The alternative                                                                                                   | EGP/share |
|-------------------------------------------------------------------------------------------------------------------|-----------|
| Priced off the sovereign's traded default swap instead, which is the narrower of the two spreads                  | 2.31      |
| One flat spot rate applied to every explicit year and to the perpetuity                                           | 0.57      |
| Two percentage points below it, which is negative real maintenance growth                                         | 2.20      |
| Every leg floored at the 23.00% sovereign ten-year yield — the company's own facilities print no spread above the | 1.54      |
| The lower bound of that regression's own 90% confidence interval                                                  | 3.50      |
| The contract formula price in the operating agreement, which is higher                                            | 0.25      |
| Seventy per cent, which is what a well-run nitrate line achieves                                                  | 2.56      |
| Replacement-rate maintenance: gross fixed assets at the disclosed 3.95% machinery depreciation rate, or 6.11%     | 1.40      |
| 23.3%, from a 30% return on capital — the rate a newly completed plant earns on incremental capital while it is   | 3.24      |
| The faster profile the first issue of this study used, opening at EGP 3,000m                                      | 2.08      |

| 20.4% terminal | 22.0% terminal | 24.0% terminal |
|----------------|----------------|----------------|
| -2.76          | -2.84          | -2.92          |
| -1.29          | -1.44          | -1.59          |
| 0.19           | -0.03          | -0.25          |
| 1.66           | 1.38           | 1.09           |
| 3.14           | 2.78           | 2.43           |

2.31

Against the published

0.00

-1.74

-0.11

-0.78

1.19

-2.06

0.25

-0.91

0.93

-0.23

## PER-SHARE FIGURES AND RATIOS

*Every line a formula.*

| Measure                                         | Value  |
|-------------------------------------------------|--------|
| Book value per share (EGP)                      | 8.16   |
| Price to book the market pays                   | 1.77   |
| Sustainable return on equity                    | 6.9%   |
| Cost of equity                                  | 29.28% |
| The gap the company has to close                | 22.4%  |
| Net debt to EBITDA, FY2026/27                   | 2.1    |
| Enterprise value to EBITDA at the model's value | 2.3    |
| Enterprise value to EBITDA at the market price  | 8.0    |
| Free cash flow per share, FY2026/27 (EGP)       | 1.00   |
| Free cash flow per share, FY2030/31 (EGP)       | 1.07   |
| Dividend per share                              | 0.00   |

## Basis

Paid-in capital plus reserves at 31 March 2026 over the share count

Two-year average on underlying profit

Built on the Assumptions sheet, on the CDS premium basis

A company earning below its cost of equity destroys value by growing

On the forward year

#,##0.00



## PEER FRAME AND SECTOR

*Cross-check only. Peer data is never a source for this company's own reported history.*

| Company                             | Market   | Urea capacity (kt/yr) |
|-------------------------------------|----------|-----------------------|
| Egyptian Chemical Industries        | EGX      | 575                   |
| Abu Qir Fertilizers                 | EGX      | 2,000                 |
| MOPCO                               | Unlisted | 1,800                 |
| Helwan Fertilizers and NCIC         | Unlisted | 1,300                 |
| Egyptian nitrogen capacity (kt/yr)  | 7,250    |                       |
| The subject's share of it           | 7.9%     |                       |
| Inland freight per export tonne (EC | 1,742    |                       |

The freight line is the difference that matters. A coastal producer does not

| Location |
|----------|
|----------|

|                        |
|------------------------|
| Aswan, 1,000 km inland |
|------------------------|

|                     |
|---------------------|
| Alexandria, coastal |
|---------------------|

|                   |
|-------------------|
| Damietta, coastal |
|-------------------|

|                       |
|-----------------------|
| Helwan and Ain Sokhna |
|-----------------------|

### Why it matters here

The subject. The only Egyptian nitrogen producer off the coast, which is why freight to port is its own disclosed cost line.

The listed comparator, and the marketer of the subject's ammonia exports for a fee of 12% of the export price. The subject held 2.7% of it and began selling down.

Curtailed alongside the rest of the industry in the 2026 gas squeeze; the subject's own urea is warehoused at Damietta for export.

Completes the supply picture against which the export share is allocated.